MUMIAS SUGAR
COMPANY LIMITED

The Home of Natural Kenyan Sweetness!!

ABRIDGED UNAUDITED RESULTS FOR SIX MONTHS ENDED DECEMBER 2015

CONDENSED STATEMENT OF COMPREHENSIVE INCOME FOR THE SIX MONTHS ENDED DECEMBER 2015

	Six Months to Dec 2015 Shs'000	Six Months to Dec 2014 Shs'000
Net Revenue	2,977,321	2,674,878
Cost of Sales	(3,449,043)	(3,449,340)
Gross Loss	**(471,722)**	**(774,462)**
Fair value gain on biological assets	4,781	13,291
Other Operating Income	33,912	69,569
Marketing and Distribution costs	(105,968)	(274,541)
Administrative Expenses	(1,002,427)	(820,936)
Finance Income	9,362	88,937
Finance costs	(732,586)	(378,748)
Loss before taxation	**(2,264,648)**	**(2,076,890)**
Taxation Credit	679,394	623,067
Loss after taxation	**(1,585,254)**	**(1,453,823)**
TOTAL COMPREHENSIVE LOSS FOR THE PERIOD	(1,585,254)	(1,453,823)
	Shs	Shs
Earnings per share - basic & diluted	**(1.04)**	**(0.95)**

CONDENSED STATEMENT OF FINANCIAL POSITION AS AT DECEMBER 2015

	27 Dec 2015 Shs'000	30 June 2015 Shs'000
ASSETS		
Non-current assets	17,326,474	17,860,015
Current assets	1,855,486	2,543,549
TOTAL ASSETS	**19,181,960**	**20,403,564**
EQUITY AND LIABILITIES		
Shareholders' equity	4,346,790	5,932,044
Non-current liabilities	4,554,502	830,929
Current liabilities	10,280,668	13,640,591
TOTAL EQUITY AND LIABILITIES	**19,181,960**	**20,403,564**

CONDENSED STATEMENT OF CHANGES IN EQUITY FOR SIX MONTHS ENDED DECEMBER 2015

	Share capital Shs'000	Revaluation surplus Shs'000	Retained earnings Shs'000	Total Shs'000
At 1 July 2014	3,060,000	3,071,442	4,510,363	10,641,805
Total comprehensive loss for the period - 2014	-	-	(1,453,823)	(1,453,823)
At 31 December 2014	**3,060,000**	**3,071,442**	**3,056,540**	**9,187,982**
At 1 July 2015	3,060,000	1,955,580	916,464	5,932,044
Total comprehensive loss for the period - 2015	-	-	(1,585,254)	(1,585,254)
At 27 December 2015	**3,060,000**	**1,955,580**	**(668,790)**	**4,346,790**

CONDENSED STATEMENT OF CASH FLOWS FOR SIX MONTHS ENDED DECEMBER 2015

	2015 Shs'000	2014 Shs'000
CASH FLOWS FROM OPERATING ACTIVITIES		
Net cash used in operations	(1,035,902)	(281,542)
CASH FLOWS FROM INVESTING ACTIVITIES		
Net cash used in investing activities	(16,034)	(19,815)
CASH FLOWS FROM FINANCING ACTIVITIES		
Net cash generated from / (used in) financing activities	1,000,000	(73,812)
DECREASE IN CASH AND CASH EQUIVALENTS	**(51,936)**	**(375,169)**
CASH AND CASH EQUIVALENTS AS AT 1ST JULY	**(2,002,149)**	**(1,328,839)**
CASH AND CASH EQUIVALENTS AS AT 27 DECEMBER	**(2,054,085)**	**(1,704,008)**

BASIS OF PREPARATION

These condensed unaudited interim financial statements have been prepared in accordance with International Accounting Standard No. 34, "Interim Financial Reporting". They do not include all the information required for full annual financial statements and should be read in conjunction with the annual audited financial statements as at and for the year ended 30 June 2015, which have been prepared in accordance with International Financial Reporting Standards. The accounting policies and methods of computations followed in the preparation of these interim financial statements are the same as those used in preparation of the annual financial statements as at and for the year ended 30 June 2015.

SUGAR INDUSTRY

During the period under review, the sugar industry continued to experience a shortage of sugar cane in the Western Kenya sugar belt. Development of new and existing cane lands fell behind schedule due to the economic pressures on cane farming, which impacted on the raw material needs of the company. The effect of proliferation of mills created competition for the available cane in the Western region, while the general impact of the financial pressures on farming led to inadequate inputs to obtain optimum cane yields.

CHALLENGES FACING THE COMPANY

Factory efficiency, high unit cost of production, raw material shortage and low product prices continue to be the main challenges facing the Company. High unit cost of production arose mainly from underutilization of factory capacity due to low cane supply and high cost of servicing the factory.

RESULTS OVERVIEW

The company recorded net revenue of KES 2.977 billion up from KES 2.674 billion signifying an improvement by 11% compared to a similar period the previous year.

During the six month period, high interest rates coupled with a depreciated Kenya shilling adversely affected the company in terms of high cost of finance and foreign currency exchange losses. This combined with high operating and administrative costs saw the company post a pre- tax loss of KES 2.264 billion which is 9% higher than the KES 2.076 billion loss incurred during a similar period last year.

OPERATIONS

The cash flow challenges over the years saw the factory suffer long delays before undergoing annual maintenance. This affected plant availability coupled with juice leakages necessitating closure of the factory for maintenance during the months of July and August.

SUGAR

Sugarcane crushed totaled 581,541 tons which was 31% higher than the 443,425 tons crushed in the previous year. Sugar produced was 36,510 tons which was 18% higher than 30,897 tons produced over a similar period last year. During the same period, the company sold 36,333 tons of sugar which was 11% above 32,658 tons sold over the same period last year.

ENERGY

Measures are being taken to arrive at an amicable resolution to the dispute with the Kenya Power and Lighting Company. There have been no exports to the national grid since December 2014, hence no power export revenue earned since that time.

ETHANOL

Revenue from ethanol increased by 16% to KES 435 million compared to KES 376 million generated during a similar period last year. Ethanol produced and sold during the period was above that produced & sold over a similar period last year by 39% and 15% respectively.

WATER

Revenue from water sales decreased by 37% to KES 8.644 million compared to KES 13.78 million generated during a similar period last year as a result of a three month stoppage to install automatic labeler machine.

OUTLOOK

Despite the challenges highlighted, the company is cautiously optimistic that it will record better performance in the second half of the year. The current dry spell has enabled access to low lands which have mature cane with high sucrose content. The company envisages depressed sugar prices during the second half of the year as a result of influx of cheap illegal imports. The ethanol market remains promising although it's being adversely affected by the government's decision to suspend lifting of export spirits.

The Board and Management are fully committed and currently pursuing the following medium and long term strategies aimed at turning around the company's performance:

- Restructuring of existing long term loans involving rescheduling of repayments to 7 years inclusive of 2 years moratorium.
- Collaborating with GoK for additional funding of KES 2 billion.
- Controlling cost of production, administration and marketing.
- Streamlining the organization structure in order to have in place a lean and efficient structure.
- Engagement with farmers to boost farmer loyalty and enhance supply of raw material.

BY ORDER OF THE BOARD

Dan Ameyo MBS, OGW
CHAIRMAN